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U.S. ECONOMICS NEWS

- **AI Imports:** AI-related capital goods imports (computers, semiconductors, telecom equipment) are up $273 billion year-to-date, more than the $107 billion rise in total goods imports. Taiwan imports are up 56.8%, while China has fallen to fourth place, down 16.3%, though transshipment through third countries may distort the official figures.[3]
- **Earnings Outlook:** The S&P 500 sits 0.98% below its August 13 high and 54.99% above its April 2025 low. Expected 2026 earnings growth has risen to 32.0% from 14.9% at the start of the year. Mid-cap and small-cap estimates are 26.9% and 24.2%, supporting equities despite higher yields.[3]
- **Energy Rally:** Energy led Q3'26 at 17.2% on persistently high oil prices and Middle East hostilities, ahead of Information Technology (7.2%) and Health Care (6.5%). Inflation pushed the Fed to raise rates in September. Because oil volatility drove those hikes, a peace deal could reverse the trend, so a long-term view is advised.[3]
- **Treasury Ownership:** Foreign holdings of Treasuries sit near record highs despite worries about retreating buyers. Official holders (governments and central banks) have cut a net $235 billion since 2016, citing geopolitical risk such as frozen Russian reserves, while private investors added $3.2 trillion chasing higher yields. Future foreign demand should not be assumed if deficits persist.[3]
- **Debt Holders:** Japan and China's combined share of foreign-held Treasuries fell from nearly 50% in 2012 to 20.7% in 2025, with China's holdings halved to $684 billion. The U.K. is now second-largest, partly from custodial bias. The U.S. government owns about 30% of federal debt, foreigners under 25%, and domestic investors 45%.[3]
- **Earnings Records:** A record 72 S&P 500 companies issued positive Q3'26 EPS guidance, topping the prior record of 65 in Q2'21 (tracking began in 2006), against 44 negative. Technology, Industrials, and Health Care accounted for 59 of them. The Q2'26 net profit margin hit a record 17.0%, versus a 5-year average of 12.6%, and 2026 revenue is projected up 12.9%.[3]

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DIGITAL ASSETS NEWS

- **Volatility Paradox:** Bitcoin's average volatility has fallen markedly as institutional adoption, spot ETF inflows, and deeper derivatives markets have matured price action, yet 2026 has still produced 10 unusually large trading days. This suggests calmer baseline conditions coexist with sharp, event-driven shocks, so traders face fewer routine swings but remain exposed to sudden outsized moves driven by macro news, liquidations, or shifts in liquidity.[5]
- **Visa Survey:** Visa's consumer research suggests nearly half of Asia-Pacific respondents could be open to using stablecoins for payments or transfers by 2031, yet only about 6% say they actually understand how these digital assets work. This gap between curiosity and comprehension highlights the need for clearer consumer education, transparent regulation, and trusted providers before stablecoins can move from niche crypto tools to mainstream payment options across the region.[5]
- **Zcash Quantum:** Zcash developers have set a January target for introducing quantum-resistant public (transparent) payments, aiming to protect on-chain funds from future quantum computers capable of breaking the elliptic-curve signatures that currently secure transactions. The effort reflects growing concern across the cryptocurrency industry about long-term cryptographic risk, though the timeline remains a stated goal and could shift as testing, review, and network upgrade coordination progress.[5]
- **Q3 Returns:** Digital assets outpaced both equities and gold in the third quarter, with major cryptocurrencies posting stronger percentage gains than benchmark stock indices and the traditional safe-haven metal. The advantage reflected heightened investor risk appetite and renewed inflows, though digital assets also carried notably higher volatility, so their outperformance came with greater downside risk than stocks or gold typically present.[5]

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GEOPOLITICS NEWS

- **Europe:** Russia is escalating sabotage across NATO countries using deniable tools, such as drones probing air defenses and arson at wartime suppliers, that stay below the threshold for a wider war. European officials fear an accident could cause mass casualties and are debating how to retaliate without overreacting.[1]
- **Germany/France:** The two countries urged the EU to adopt powers allowing an immediate cut-off from the single market for countries engaged in coercive trade practices, plus tools to reduce supply chain dependencies. Though China is unnamed, the letter lands before Trade Commissioner Šefčovič's Beijing talks and an EU summit.[1]
- **Iran:** Iran's Revolutionary Guards say the Strait of Hormuz remains closed until Tehran's demands are met, and they plan to block "illegal routes" along Oman's coast. Tanker attacks hit their highest weekly count since the war began, and transits fell to a two-month low. An Iranian influence campaign also planted about 100 ChatGPT-generated articles in US outlets.[1]
- **Saudi Arabia:** Houthi missile and drone strikes on Saudi airports and oil facilities have intensified, killing three at Riyadh airport and shutting it down during a major energy conference. Riyadh re-entered Yemen's war to push the Houthis from the Bab el-Mandeb Strait, and the conflict threatens Crown Prince Mohammed bin Salman's plans for a business and tourism hub.[1]
- **Ukraine:** Russia struck Ukrainian energy sites despite Trump's announced energy ceasefire, which Kyiv and its allies learned of through the media. Zelensky says the truce could help end the war if the US enforces it. Trump faces high energy prices ahead of next month's midterms.[1]
- **United States:** Washington is moving MQ-9 Reaper drones from Africa to Colombia and Ecuador as it expands operations against Latin American cartels toward land strikes. At least 45, about a quarter of the fleet, were lost in the Iran war. Separately, federal agents searched Representative Ilhan Omar's home under a judicial warrant in an ongoing criminal investigation.[1]
- **United States:** Americans Robert Hall and Michael Woodford won the 2026 Nobel economics prize for building ground-up models that central banks and finance ministries use to stabilize economies. Their work emphasizes households' and businesses' micro-level decisions over top-down theories. The recognition comes as central banks grapple with an energy shock from the Iran war.[1]

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THE GOOD NEWS

- **Math Breakthroughs:** OpenAI released 722 papers containing AI-generated solutions to more than 300 problems in number theory, algebraic geometry, and other fields, some unsolved for decades. The batch includes advances related to three of the five remaining Millennium Prize Problems. Mathematicians reacted with awe, with one Rutgers professor saying a human achieving the "quasi-Riemann hypothesis" proof would earn a Fields Medal.[2]
- **AI Transparency:** Google has opened its SynthID Detector to everyone worldwide, in English, after previously limiting it to media professionals. Users can check whether an image, video, or audio file was made with AI from Google or partners like OpenAI, NVIDIA, and Kakao, with Apple coming soon. SynthID has already watermarked over 180 billion images and videos and 240,000 years of audio, helping people judge what to trust online.[2]
- **Cancer Survival:** Five-year survival for US cancer patients has reached 71%, up from 49% in the late 1970s, according to the American Association for Cancer Research. Lung cancer survival more than doubled from 13% to 29%, childhood lymphoid leukaemia survival rose from 57% to 90%, and liver cancer survival tripled to 22% since the mid-1990s. Researchers note some stubborn cancers still need progress.[2]
- **Faster Drugs:** A new US initiative called SURPASS aims to redesign clinical trials using simulation and real-time adaptive methods to cut the time and cost of developing drugs. Today, bringing a drug to market can take over a decade and cost roughly $2 billion, and more than 90% of candidates fail. Teams chosen through a bidding process will test the new approach, which could bring treatments to patients sooner and more affordably.[2]

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DIVIDEND PORTFOLIO NEWS

- **CEG:** Constellation Energy surged about 12% after confirming a nuclear deal with Google tied to 890 MW of new PJM capacity. The agreement sparked a rally across power stocks.[4]
- **GD:** General Dynamics named current president Deep as its next CEO. BNP Paribas said the transition could bring a fresh approach to the company. Separately, Anduril announced a $3.7B Maryland shipyard and won a $2.9B Navy submarine contract, signaling rising competition in a core GD market.[4]
- **LMT:** Lockheed raised its dividend 4.3% to $3.60 per share. It unveiled a next-generation Patriot interceptor aimed at hypersonic threats, and its Sikorsky unit introduced a containerized drone system.[4]
- **NWG:** NatWest Group is reportedly pulling back from US and European government bond dealing. The move suggests a retreat from lower-margin trading activity as the bank narrows its focus on core UK lending and wealth businesses.[4]
- **QCOM:** Qualcomm reportedly may be interested in acquiring Ambarella, which jumped on the report. Separately, Apple reportedly cut iPhone 18 Pro component orders by about 15% on chip costs, a potential headwind for Qualcomm's handset exposure.[4]
- **SYK:** Stryker will invest $400M in CMR Surgical and gains an option to buy the company outright, expanding its surgical robotics push.[4]

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GROWTH PORTFOLIO NEWS

- **AMD:** Mizuho raised targets on AMD and Intel as agentic AI drives CPU demand. CEO Lisa Su sees “very high” chip demand lasting for years and says AMD is still exploring a Samsung partnership.[4]
- **CVX:** Chevron will divest its stakes in Hess Midstream and DJ Basin crude midstream assets, streamlining its portfolio. The CEO warned that oil and fuel supply buffers are thinning as the Middle East war drags on.[4]
- **FCX:** Copper climbed on hopes of Chinese stimulus and supply risks at Chilean mines, a supportive backdrop for Freeport’s pricing.[4]
- **HOOD:** Robinhood made its first Bitcoin purchase, putting $25M on its balance sheet, though a sharp Bitcoin drop hit crypto-related stocks.[4]
- **MRVL:** Marvell jumped after raising guidance at its investor day, and Wall Street analysts responded with praise.[4]
- **NOW:** JPMorgan expects the software rally to extend and favors ServiceNow alongside Microsoft and Snowflake. Offsetting that, Google launched Gemini Agent for enterprises, raising competitive questions for workflow software.[4]
- **NVDA:** SpaceX is now seeking $40B to buy NVDA’s chips.[4]
- **SOFI:** SoFi teamed up with Mastercard and Orbi on a Mexico crypto-linked card, extending its remittance and digital-asset ambitions.[4]
- **TSM:** TSMC’s Q3 revenue rose 50% Y/Y to a record NT$1.49T, beating estimates. It reportedly boosted U.S. investment to $265B. Reports of Apple cutting iPhone component orders weigh slightly.[4]
- **VST:** Vistra rallied with power-sector stocks after Constellation Energy’s sweeping nuclear deal, which highlighted strong demand for dependable power from AI data centers.[4]

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SUMMARY

In regard to the United States Economy, AI-related capital goods imports have surged $273 billion this year, outpacing the rise in total goods imports, with Taiwan up sharply and China slipping. Earnings expectations for 2026 have climbed to 32.0% growth, and a record 72 S&P 500 companies issued positive guidance. Energy led the third quarter as oil stayed high, while foreign Treasury holdings remain near records despite shifting buyers.

In the world of digital assets, Bitcoin's average volatility has declined as institutional adoption, spot ETF inflows, and deeper derivatives markets mature, yet 2026 has still produced ten unusually large trading days. Digital assets beat both equities and gold in the third quarter, though with greater downside risk. Nearly half of Asia-Pacific consumers may be open to stablecoins by 2031, but few understand them, and Zcash targets quantum-resistant payments in January.

Recently around the globe, Russia is escalating deniable sabotage across NATO countries, leaving European officials worried about accidents and how to respond. Iran says the Strait of Hormuz stays closed, and tanker attacks have reached their highest weekly count since the war began. Houthi strikes are hitting Saudi airports and oil sites, while Russia continues striking Ukrainian energy facilities despite an announced ceasefire. Germany and France urged stronger EU trade-defense powers.

For the good news, OpenAI released hundreds of AI-generated mathematical solutions, including advances tied to several Millennium Prize Problems, leaving mathematicians in awe. Google opened its SynthID Detector worldwide so anyone can check whether media was AI-made. Five-year US cancer survival has reached 71%, up from 49% in the late 1970s. A new initiative called SURPASS aims to speed drug development through simulation and adaptive trials, cutting time and cost.

In the news for the dividend portfolio, Constellation Energy jumped about 12% on a nuclear deal with Google before pulling back with AI-linked names. Lockheed raised its dividend 4.3% to $3.60 per share and unveiled a next-generation Patriot interceptor. General Dynamics named Deep its next CEO as Anduril emerges as a rival. Stryker will invest $400 million in CMR Surgical, while NatWest retreats from government bond dealing and Qualcomm faces mixed signals.

And, for the growth portfolio, Nvidia hit a record high, while AMD benefited from agentic AI demand and Marvell jumped after raising guidance. TSMC posted record quarterly revenue, up 50% year over year, and boosted its U.S. investment to $265 billion. Chevron is streamlining its midstream assets as oil supply buffers thin, and Vistra rallied on power demand. Robinhood bought Bitcoin, SoFi expanded into crypto-linked cards, and ServiceNow drew JPMorgan's favor despite competition.

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RESOURCES

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